Aberdeen Group
Market Alert
Insight and Advice About Market Events

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IBM + Webify = Industry SOA Application Jumpstart

Hypothesis

IBM Software Group's acquisition this week of Webify Solutions catalyzes the nascent market for value-added SOA application development capabilities aimed squarely at specific vertical markets. What does IBM know that the rest of the SOA development software market needs to grasp?

Aberdeen Analysis

Your Peers are Building Composite Applications Using Web Services

Our recent study, *ESB and SOA Middleware*, found that 90% of Global 5000 businesses will exit 2006 with SOA planning, design, or programming activities underway. About half our survey participants said they were building SOA applications using web services and lightweight SOA tools — hence the term we coined, *SOA Lite*. The most common activity is building new composite applications across custom-built and/or third-party applications using general-purpose SOA development tools. In fact, IT developers are so enthusiastic that one-third of organizations are planning four or more SOA projects in 2006.

Flaws in Your Peer's Strategy

We do not doubt for a minute that the *SOA Lite* projects underway are undertaken sincerely. The fact is that SOA technology for providing integration via web services is considerably more productive than what prior technology allowed. Moreover, line-of-business executives have been demanding more agility from the IT department for years — and now they're starting to get that agility. The question to ask, in spite of all the enthusiasm, is whether the current approach to SOA development by many organizations will stand the test of time.

Enterprise Applications Need Enterprise SOA

Since many of the composite applications being built with web services are used to record, transact, and manage the organization's business, it goes without saying that these applications demand the same level of consideration of other business- and mission-critical enterprise applications. That is to say they need enterprise SOA technology. We define *Enterprise SOA* as applications that use SOA middleware software to bolster services with an enterprise service bus (ESB), repository, management, governance, and life-cycle development tools. These are not used in *SOA Lite*, and mean that *SOA Lite* applications may not sustain common IT failures, or follow company or mandated policies.

IBM's WebSphere suite of SOA infrastructure software meets the definition of *Enterprise SOA*, and is an exemplar of what enterprise application developers should be using.

Where are the Industry Service Building Blocks?

Missing from general-purpose SOA developer toolkits are service component building blocks that understand the core business process orientation of specific vertical markets. All businesses have customers, but insurance customers have policies while banking customers have loans, credit cards, and deposits. This is obvious, but an SOA toolkit — such as the Eclipse integrated developer environment (IDE) — without an inkling of what processes are common in the business, are bare bones at best. As a result, business applications programmers must invest time and effort in defining the basic business-process service building blocks before they can add value in new application development specific to the organization's needs.

Webify Solutions Add Industry Building Blocks to Industry Applications

Webify provides pre-built, customizable SOA software parts, models, and business policies that can be much more easily and quickly assembled by applications programmers into tailored applications. If the project is building a deck onto a house, Webify would be a trip to the lumber yard for pre-measured lumber "components," while everyone else heads to the woods with an axe and a saw.

Webify provides comprehensive solutions for composite business services in the insurance, healthcare, banking, and telecommunication markets. All these markets are covered in IBM's industry-oriented go-to-market strategy.

Webify Solutions Add Industry Building Blocks to IBM WebSphere and Rational

The initial Webify solutions for IBM WebSphere SOA middleware and IBM Rational developer lifecycle tools will encompass the insurance and healthcare industries. Subsequent composite business services are under development for banking, telecommunications, and the public sector. The application solutions are all built on Webify's industry application fabric, which abstracts many of the system-level interfaces.

Webify plugs neatly into a WebSphere environment, which means Webify can be managed by IBM Tivoli and integrate with people and process collaboration products from IBM Lotus. Finally, the Webify composition studio and related business services repository fit into the IBM Rational developer architecture for modeling and assembling components.

In This Instance, Synergy is not a Cliché

As a 120-person private company based in Austin, Texas, and Mumbai, India, Webify on its own lacked the market footprint to take a good idea, industry-oriented SOA components, to get big fast. IBM, showing considerable market agility, can take Webify's technology and amplify it around the globe in products and services as only an $80 billion technology giant can.

The acquisition answers our question asked in February of where will the industry-specific SOA applications come from. With Webify's technology, IBM jumpstarts a much-needed industry-oriented focus on SOA development with high programmer productivity from the start.

Enterprise Applications: Build or Buy?

In June, we wrote a Research Brief with this conclusion:

"The application development business focus should be on optimizing processes that make your organization unique: service delivery, low cost supplier, premium customer support, fast delivery, etc. The way most enterprises are doing this is to decompose business processes into services under the guise of a service-oriented architecture (SOA), which is proving to lower life-cycle costs. For the vast majority of organizations, the SOA services

will contain a composite of packaged and homegrown applications for the foreseeable future, not a total re-write."

IBM's acquisition of Webify bolsters our case. Webify will allow for the fast and flexible assembly of composite applications that span the home-grown and packaged applications that make up so many business processes today. Enterprises can continue to get value from their existing application software investments while re-tooling processes as SOA services.

IBM is in a Category of One

IBM with Webify is in a class of its own. Long term, we believe vertical-market application components, including business process models such as what IBM can offer with Webify, will represent a viable adjunct to enterprises that now define their processes using enterprise resource planning (ERP) systems such as those from **SAP**, **Oracle**, **Infor**, and **Lawson**. Oracle's process-model-driven Fusion applications are expected next year. **Vitria**'s vertical applications may gain more consideration now that IBM is blessing the concept of flexible customization. But missing from this competitive playing field to date is **HP,** which has had outstanding vertical process models on the shelf for three years and now, with the new SOA infrastructure from the **Mercury Interactive** acquisition, is in a better position to enter the next-generation application space than ever before.

The Webify acquisition, it must be emphasized, also gives IBM's vertically-oriented global services organization a powerful set of products that will engender discussions from business transformation with Webify in the boardroom to time-to-market with application programming managers to software lifecycle costs with CIOs.

Enterprise application programmer executives, especially in healthcare and insurance, need to evaluate the IBM-Webify offering versus other but more general-purpose IDEs such as Eclipse or **Microsoft's** Visual Studio. The metric to consider is lifecycle lines of code written. With Webify, we believe IBM can make a strong case that programmers will be able to do more, quickly, while having fewer lines of code to maintain over time. That spells lower costs of application ownership.

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Related Research

Enterprise Service Bus and SOA Middleware June 2006

The Service-Oriented Architecture (SOA) in IT Benchmark Report; December 2005

Enterprise Applications: Build or Buy? June 2006

Advancing Legacy Applications in an SOA World August 2006

Re-THINKING the IBM Mainframe June 2006

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